

ABI Guidance

ABI Guidance on a Fast Track Life Claims Indemnity Process

May 2011

1. Introduction

The insurance industry has recognised that financial hardship can arise due to the lengthy legal process associated with winding up a deceased person's estate. Whilst the same legal process applies to all assets, an early life insurance payout would help reduce financial hardship until other assets become available to dependents.

This guidance sets out a process that aims to ensure life cover claims can be paid with as little delay as possible in cases where there is a straightforward Will which is unlikely to be disputed and there are no suspicious circumstances surrounding the death.

2. Background

When the life assured of a single life policy dies, if the policy has not been assigned or written in trust with an additional trustee, the proceeds are payable to the deceased person's estate. Title to the estate lies with their legal personal representative. Title is normally demonstrated by producing a Grant of Representation.¹ Under the traditional process, insurers are usually unable to pay out the policy proceeds without probate.

Some insurers have developed new processes to enable them to pay out relatively small amounts to claimants without waiting for probate subject to certain conditions, including the completion of an indemnity agreement by the claimant. The purpose of this guidance is to encourage more insurers to adopt processes that reduce the financial hardship associated with delays arising from the legal process of winding up a person's estate.

The 'fast track indemnity process' set out in this guidance can be applied to a substantial proportion of life insurance claims for both new and in-force single life policies. We believe the process is simple for customers to understand and relatively easy for insurers to implement. It has been developed with the assistance of the Law Commission and we gratefully acknowledge their help.

3. Characteristics of cases where the fast track indemnity process is likely to be applicable

The fast track indemnity process is most likely to be applicable to life insurance claims where there are no unusual circumstances surrounding the death and there is unlikely to be any dispute over the estate which only a court can resolve. This means that the following characteristics are likely to apply but will depend on the individual insurers processes:

- There is satisfactory proof of death and the death certificate does not indicate any unusual circumstances.
- The person has died in the UK or in a foreign country on holiday or on business. *Note: insurers will be aware of the increased risk of fraud associated with deaths in 'higher risk' countries.*

¹ Usually a Grant of Probate if there is a valid Will or a Grant of Letters of Administration if there is no will; in Scotland this is called a Grant of Letters of Confirmation.

- There is a valid Will which is the most recent and it has been signed and dated. *Note: insurers will usually ask to see the original document but may, at their discretion, accept a copy.*
- The deceased did not get married or divorced since the Will was made. *Note: a material change of circumstances increases the likelihood of a Will being contested.*
- The Will includes the names of all the expected beneficiaries – for example, the person's partner and children.
- The deceased or the potential recipients of the policy benefits have not been declared bankrupt.
- The claimant can confirm that they are not aware of any potential dispute over the estate.
- The claimant can provide satisfactory evidence of their identity and entitlement.

Where there is no Will, insurers may still consider using the fast track indemnity process, especially in cases involving smaller benefit amounts provided the other key characteristics above are met. Alternatively, a copy of the probate application form (Form PA1) may be acceptable. Some insurers may decide to waive this requirement for lower sums at their discretion.

4. The fast track indemnification process

The process works by getting the claimant to sign a formal declaration that they are entitled to the policy benefits, and that they will be responsible for any losses the insurance company makes that occur as a result of the claimant making any false or untrue statements in the declaration made either carelessly or deliberately.

This formal declaration is designed to protect the insurer against any subsequent claim made by another party. The insurer can therefore use the declaration to pay the life insurance claim as soon as it has completed its usual death claims process and found the claim to be valid.

If applicable, the fast track indemnity process bypasses much of the legal process and consequent delays. However, the insurer's usual claims process will continue to apply and some death claims will need careful investigation – for example, where there are suspicious circumstances, or there is suspected fraud or non-disclosure.

Insurers will need to decide whether they require a statutory declaration made in front of a Justice of the Peace, a Commissioner for Oaths or a solicitor as described in the example declaration (see Appendix 1). If so, this will incur a small additional cost which should be made clear to the claimant. Alternatively, insurers may accept a less formal declaration such as a letter from the claimant or a solicitor on a case by case basis – for example, depending on the amount of benefit being claimed.

Notes:

- If the declaration is carried out via a tele-claims process, it will usually be necessary to obtain confirmation in writing.
- Using the process could have potential tax implications (such as for inheritance tax, if applicable) and this should be made clear to the claimant.

Benefit level

In cases where the benefit level is too large for the principle of indemnity to be valid, insurers may choose to use the fast track indemnity process to make a partial payment (for example, in cases of financial hardship) with the balance payable when probate has been granted. Insurers are free to set any indemnity level they wish as their internal financial governance controls allow.

For example, an insurer could use the fast track indemnity process to make a partial payment of, say, £30,000 on a policy with a sum insured of £100,000 to help meet most of the claimant's initial financial needs such as funeral costs, ongoing loan payments or day to day expenses.

5. Conclusion

ABI believes there are many advantages for consumers in insurers adopting this fast track indemnity claims process. For example:

- The process is simple for consumers to understand
- It can be implemented quickly and easily for most insurers
- It can be used in the majority of life insurance claims which might otherwise be delayed because of probate
- It can play a significant role in reducing the financial hardship associated with the delays resulting from the legal process associated with winding up a person's estate.

Appendix 1 – Example of a declaration to be completed by the claimant
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Policy No: Life assured:

Amount Payable: £..... Claimant:

If you want us to consider making a payment before a Grant of Probate is available, or if you do not intend to apply for a Grant, you should make the following declaration in the presence of one of the following:

- A Justice of the Peace
- A Commissioner for Oaths
- A Solicitor who is empowered to administer oaths

We recommend that you should take financial advice about Inheritance Tax if the estate is over the applicable limit.

Please provide the following information

1. Deceased's full name.
2. What is your relationship to the deceased?
3. Name and address of the widow, widower or other partner. Where applicable, please send us a copy of the marriage certificate.
4. Your full name, address and date of birth (if different to above).
5. If you are not the widow, widower or partner of the deceased, on what basis are you acting for the Estate?
6. Can you confirm that the Will you have sent us is the last Will of the deceased? If not, are you aware of any other Wills completed after this one?
7. Are you aware of any other 'executors'? (If so, please tell us their names, addresses and any other contact details)
8. Do you know if the deceased married, entered into a Civil Partnership or was divorced after the date of the latest Will? (If so, please provide details, including names, addresses and dates)
9. Do you know of any sons or daughters who survived the deceased? (If so, please provide full details, including names, addresses and dates of birth)
10. Do you know of any parents who survived the deceased? (If so please provide details, including names, addresses and dates of birth)
11. Are you aware of any potential dispute over the estate involving other persons? (If so, please provide details)
12. At the date of death had the deceased been declared bankrupt? (If so, please provide details, including name and address, of the trustee in bankruptcy)

Please send us the following documents if you have not already done so:

- An original Death Certificate
- The original version of the Will
- A copy of the application (Form PA1) if you have applied for a Grant of Probate

Declaration

In consideration of the payment made or about to be made of the above amount in accordance with the instructions of [ABC Insurance] I declare that:

- I am legally entitled to the benefits of the above policy
- The details in this form are true and complete.
- I am not aware of any other interest in, or claim to, the above policy or any sums payable under it or any other will.
- I promise that I will be responsible for any losses and/or expenses which are the result of any untrue, misleading, or inaccurate information deliberately given by me, or on my behalf, either in this form or with respect to the benefits from the above policy.
- I also promise that I will pay for any losses and/or expenses which are the result, and which a reasonable person would consider to be the probable result, of any untrue, misleading or inaccurate information carelessly given by me, or on my behalf, either in this form or with respect to benefits from the above policy.

Name.....

Signature

Date

Witnessed by.....

Signature of Witness.....

Qualification of Witness.....